

S&P Global UK Services PMI[®]

Business activity and new work expand, but inflationary pressures intensify

September 2026

Service sector output rises for third month in a row

Input cost inflation strongest since June amid surging fuel prices

Business optimism moderates from August's six-month high

September data pointed to a further upturn in UK service sector output, which confirmed a sustained rebound in business conditions during the third quarter of 2026.

However, new order intakes increased only marginally and job cuts persisted. This partly reflected worries about rising inflationary pressures, as signalled by the fastest rise in input costs since June. Surging fuel prices and elevated payroll costs were widely reported by survey respondents.

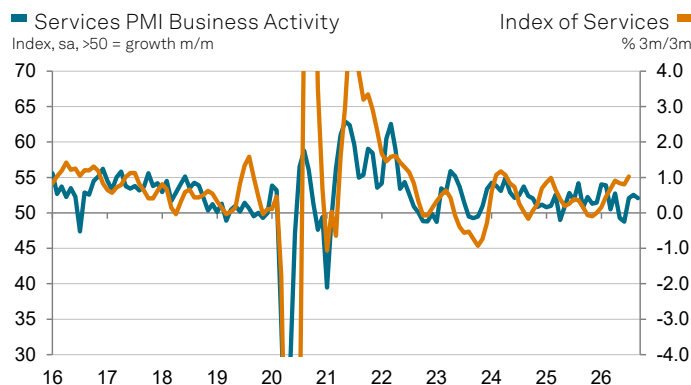
The seasonally adjusted S&P Global UK Services PMI[®] Business Activity Index registered 52.1 in September, down from 52.5 in August but signalling a moderate overall expansion of output levels across the service economy. The headline index was above the earlier 'flash' estimate in September (51.7) and compared favourably with the average seen in the second quarter of the year (50.3).

Higher levels of business activity were linked to a slight recovery in new work, with some firms noting receding risk aversion and improved sales performances despite headwinds from geopolitical tensions and rising borrowing costs. Strong demand for technology services was again reported, but there were specific mentions of weaker demand from clients in the construction sector.

Measured overall, new orders increased at the slowest pace since the current period of growth began in July. While some service providers noted efforts to focus on expansion in export markets, the latest survey indicated that new business from abroad fell for the seventh successive month. This was attributed to strong competition and lacklustre global economic conditions.

September data marked two years of continuous job cuts across the service sector as a whole. However, the rate of decline in workforce numbers remained only modest and was the slowest since October 2025. Pressure on margins from rising payroll costs, combined with efforts to deploy new technologies including AI solutions, reportedly encouraged the non-replacement of voluntary leavers. Moreover, service providers commented that business capacity was generally sufficient to meet new and existing workloads. This led to a decline in backlogs of work for the seventh month running.

Average cost burdens increased sharply in September and



Data were collected 10-28 September 2026.

Sources: S&P Global PMI, ONS via S&P Global Market Intelligence. © 2026 S&P Global.

Comment

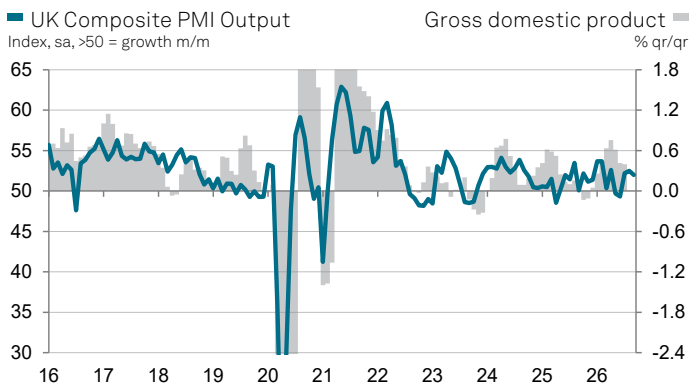
Tim Moore, Economics Director at S&P Global Market Intelligence, said:

"Moderate output growth was maintained across the UK service economy in September, albeit with a loss of momentum in comparison to August. Moreover, subdued demand conditions and rising inflationary pressures contributed to weaker business activity expectations for the year ahead."

"New order intakes increased only slightly in September and at the slowest pace for three months. Geopolitical tensions, squeezed consumer budgets and higher borrowing costs were cited as sales headwinds. Resilient demand for technology services remained the main bright spot, while some firms noted receding risk aversion among clients."

"September data marked two years of continuous cutbacks to employment numbers in the service sector amid ongoing efforts to reduce overheads. However, greater-than-expected business requirements seem to have helped to stem the jobs downturn in recent months, with the latest fall the slowest since October 2025."

"Surging fuel prices due to the Middle East conflict continued to drive up input cost inflation in September. This led to the sharpest increase in prices charged by service sector companies since May and therefore signalled a clear reversal of the slowdown seen in the middle of 2026."



the rate of inflation picked up for the second successive month to its highest since June. Higher oil and gas prices, alongside international shipping disruption, resulted in many reports of greater prices paid for energy, fuel and transportation.

Efforts to protect operating margins from rising fuel bills and elevated pay inflation contributed to another month of robust output charge inflation. September data indicated the fastest overall increase in prices charged by service sector companies since May.

Service providers remained upbeat overall about the year ahead business outlook, reflecting hopes of a sustained recovery in customer demand, as well as new projects starts and planned business investment. Around 44% of survey respondents predict an upturn in activity while only 13% forecast a decline. However, the degree of positive sentiment eased from August's six-month high and was well below the long-run survey average. Anecdotal evidence suggested that domestic economic uncertainty and concerns about the Middle East conflict were the main factors weighing on confidence, while some also noted subdued real estate and construction sector demand.

S&P Global UK Composite PMI®

UK private sector output growth lost momentum in September. At 52.0, down from 52.5 in August, the seasonally adjusted S&P Global UK PMI Composite Output Index dropped to a three-month low. However, the latest reading still signalled a moderate expansion of business activity volumes.

Softer rates of growth were seen in both the manufacturing and service sectors, with the former posting its weakest upturn for six months. New business growth also slowed in September and was only marginal overall. Backlogs of work decreased, as has been seen in each month since May 2023.

Rates of input cost and output price inflation recorded by private sector firms reached the highest since June, largely due to higher energy, fuel and transport bills.

Finally, business optimism eased since August but was still higher than seen on average in the second quarter of 2026. Despite positive projections for business activity, latest data indicated a further marginal fall in private sector employment numbers.

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Methodology

The S&P Global UK Services PMI® is compiled by S&P Global from responses to questionnaires sent to a panel of around 650 service sector companies. The sectors covered include consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services. The panel is stratified by detailed sector and company workforce size, based on contributions to GDP. Data collection began in July 1996.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each survey variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

The headline figure is the Services Business Activity Index. This is a diffusion index calculated from a question that asks for changes in the volume of business activity compared with one month previously. The Services Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline manufacturing PMI figure.

The Composite Output Index is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. The weights reflect the relative size of the manufacturing and service sectors according to official GDP data. The Composite Output Index may be referred to as the 'Composite PMI' but is not comparable with the headline manufacturing PMI figure.

Flash services data were calculated from 80% of final responses. Since January 2006 the average difference between final and flash Services Business Activity Index values is 0.2 (0.7 in absolute terms).

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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